5 & 6

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation* of

CP(CAA)/85 (CHE)2022 in CA(CAA)/20(CHE)2022

SURYALAXMI ENTERPRISES PRIVATE LIMITED
CIN: U93090TN1994PTC036593
Registered Office:No.3/11,
Seshachala Gramini Garden Street,
Sathangadu, Chennai - 600 019

...Applicant/ Transferor Company

Along with

CP(CAA)/86 (CHE)2022 in CA(CAA)/21(CHE)2022

AYODHYA FLOUR MILLS PRIVATE LIMITED
CIN: U15314TN1973PTC009151
Registered Office:No.3/11,
Seshachala Gramini Garden Street,
Sathangadu, Chennai - 600 019

... Applicant/ Transferee Company

Their Respective Shareholders

Order pronounced on 13th June 2023

CORAM

JUSTICE RAMALINGAM SUDHAKAR, PRESIDENT
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s) : *Vikram P. Jain, Advocate.*
For RD : *Avinash Krishnan Ravi, Advocate*
For Official Liquidator : *Palani*
For Income Tax : *None appeared*

COMMON O R D E R

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

The hearing of this Company Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Applicant Companies above named for the purpose of the approval of the Scheme of Amalgamation of **SURYALAXMI ENTERPRISES PRIVATE LIMITED** (for brevity "Transferor Company"), **AYODHYA FLOUR MILLS PRIVATE LIMITED** (for brevity "Transferee Company) under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Applicant Companies and the said Scheme is also annexed at *"Page No. 190 to 221" of* the Transferor Company and *"Page No. 167 to 198"* of the Transferee Company to the typed set filed along with the Application.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferor Company and the Transferee Company have filed the First Motion Application vide CA(CAA)/20 & 21(CHE)/2021 seeking reliefs as follows:

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY	To dispense with	To dispense with	To order for Meeting
TRANSFEREE COMPANY	To dispense with	To dispense with	To dispense with

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated ***13.07.2022***, to dispense the meetings of the Equity shareholders, Secured Creditors of the Transferor and Transferee Company, dispensed the meetings of the Unsecured Creditors of the Transferee Company and this Tribunal directed to convene meeting of the Unsecured Creditors of the Transferor Company on 22.08.2022 at 10:00 A.M. at the Registered Office of the Transferor Company.

3.3. Accordingly, the Tribunal has appointed Mr.Chandramouli Prabhakar, Advocate as Chairperson and Alpa Jain, ACS as the Scrutinizer for the above said meetings. Subsequently, the second motion petition was filed before this Tribunal by the petitioner

companies on ***31.08.2022*** for sanction of the Scheme of Amalgamation by this Tribunal.

3.4. The Chairperson has submitted his Report on the above said meetings on ***24th August, 2022*** with the Tribunal. From the Chairperson's report, it is observed that the Unsecured Creditors of the Transferor Company and had consented in favour of the Scheme. The said Chairperson's report is annexed at ***Page Nos. 179 to 186*** in respect of the Transferor Company to the typed set filed along with the Petition.

4. **RATIONALE OF THE SCHEME**

The Rational for the Scheme as envisaged under the Scheme of Amalgamation appended at ***"Page Nos. 190 to 191"*** of the Transferor Company and ***"Page Nos. 167 to 168"*** of the Transferee Company typeset is extracted hereunder,

"The Board of directors of the Transferor Company and Transferee Company are of the opinion that the proposed amalgamation of the Transferor Company with Transferee Company will be for the benefit of both the Transferor Company and Transferee Company and its Shareholders in the following manner:

i. The amalgamation of the Transferor Company with the Transferee Company will result in centralisation and greater integration of the business operations of the Companies and enable focus on core competencies.

ii. The Scheme of Amalgamation would facilitate the continuance of the business of the Transferor Company and Transferee Company under one entity and management and would help in elimination of duplication and rationalisation of administrative expenses;

iii. By the amalgamation, the administrative and operational costs will be considerably reduced and Transferee Company will be able to operate and run the company more effectively and economically resulting in better turnover, profits, operational efficiencies, business synergies and more productive utilization of resources.

iv. The amalgamation will lead to reflection of true net worth of the combined business for the stakeholders, in the financial statements and ensure enhancement of net worth of combined business and better valuation for stakeholders.

v. There is no likelihood that interests of any shareholder or creditor of either the Transferor Company or the Transferee Company would be prejudiced as a result of the Scheme. The Scheme of Amalgamation will result in better financial strength and flexibility and will not impose any additional burden on the members of the Transferor Company or the Transferee Company, thus resulting in maximizing overall shareholder value."

5. In the second motion application filed by the Applicant Companies, this Tribunal vide order dated ***21.09.2022*** directed the Applicant Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), Ministry of Corporate Affairs (MCA) (ii) Registrar of

Companies, Chennai, MCA (iii) Official Liquidator (iv) the Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Dina Mani" Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Applicant Companies have filed an affidavit of service before the Registry of this Tribunal on ***01.11.2022*** in ***SR No. 5856 & 5857*** and a perusal of the same discloses that the Applicant Companies have effected paper publications as directed by the Tribunal in the "Business Standard" (All India Edition) in English and "Dina Mani" (Tamil Nadu Edition) in Tamil on 14.10.2022. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on 07.10.2022, (ii) Registrar of Companies Chennai on 07.10.2022, (iii) Official Liquidator on 07.10.2022 and (iv) Income Tax Department on 07.10.2022 and the proof of the same by way of affidavits have been enclosed with the separate typed set. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:-

STATUTORY AUTHORITIES

7. REGIONAL DIRECTOR

7.1. The Regional Director, Southern Region *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on ***13.01.2023*** in ***S.R.No220*** and has stated in para 7 of the report that Clause 7 of Part B of the Scheme provides for the protection of employees of the Transferor Company. All staff and employees of the Transferor Company, in service on the Effective Date shall be deemed to have become staff and employees of the Transferee Company with effect from the Appointed Date or date of joining whichever is later, without any break in their service and other benefits.

7.2. It is averred in para 3 of the RD report that as per Clause 1.2 of Part A of the Scheme, the Appointed Date is 01.04.2020, which is antedated beyond a year and is not in accordance with Sec. 232(6) of the Companies Act, 2013. It is stated that the NCLT, Chennai may direct the company to revise the Appointed Date or may determine an Appointed Date as it deems fit.

7.3. It is further averred in para 8 of the RD Report that as per Clause 11 of Part B of the Scheme, the Transferee Company shall issue

and allot to the Shareholders of Transferor Company 1.09 fully paid up equity shares of Rs. 10 each for every 01 fully paid up equity shares of Rs. 10 each held by them in the Transferor Company, as consideration upon effectiveness of the Scheme of Amalgamation.

7.4. It is further averred in para 9 of the RD report that Clause 12 of Part B of the Scheme provides for cancellation of the Equity Shares held by the Transferee Company in the Transferor Company. As such, 50,000 Equity Shares held by the Transferee Company in the Transferor Company shall stand cancelled and extinguished without any further act or deed, upon effectiveness of the Scheme.

7.5. It is further averred in para 11 of the RD Report that Clause 10 of Part B of the Scheme provides for Clause 10 of Part B of the Scheme provides for dubbing of Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Company shall stand altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 4,05,00,000

divided into 40,50,000 equity shares of Rs. 10 each. It is prayed that the NCLT, Chennai may direct the Transferee Company to pay the difference in fee / stamp duty and also to file the amended MOA and AOA with Registrar of Companies in connection with the proposed increase of Authorized Share Capital.

7.6. Further it is averred in para 13 of the RD report that Clause 15 Part B of the scheme provides for dissolution of the Transferor Company without being wound up.

7.7. It is further observed that as per para 13 of the RD report wherein it has been stated that as per the Report of the RoC, Chennai, the Transferor Company and Transferee Company are regular in filing their statutory returns up to 31.03.2022 and has reported that there are no prosecution / complaint/ inspection or Investigation pending against the Applicant Companies.

7.8. Thus, after examining the Scheme, except the observations made in para 3 and 11 of the RD Report, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.9. In response to the observations made in Para 3 of the RD Report that the Authorized Representative of the Applicant Companies have filed a Reply Affidavit dated ***03.04.2023*** in ***S.R.No.1503*** wherein it is stated in para 5 of the Reply Affidavit that the Appointed Date mentioned is in accordance with Section 232(6) of the Companies Act, 2013. It is submitted that Section 232(6) of the Companies Act, 2013 requires the Companies to indicate an Appointed Date and that the Scheme will become effective from such date. Section 232(6) is extracted below:

"(6) The Scheme under this section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date".

Section 232(6) of the Companies Act, 2013 merely sets out the requirements that every Scheme of Arrangement must contain an appointed date, which is the date on which the Scheme is said to have come into effect. Further, the Appointed Date is indicated in the Scheme of Amalgamation at Para 1.2 and the same is 1st April, 2020 (01.04.2020). The Scheme of Amalgamation was thereafter approved by the Board of Directors on 27.01.2021. The Shareholders and Creditors of the Company have also approved the Scheme of Amalgamation mentioning the Appointed Date

and there has been no objection with respect to the Appointed Date from any stakeholders of the Company.

7.10. It is further stated in para 6 of the Reply Affidavit that the observation of the Regional Director is based on the General Circular F.No.7/12/2019/C1-1 dated 21st August, 2019 issued by the Ministry of Corporate Affairs (MCA Circular). As per the aforesaid Circular, where the appointed date is chosen as a specific calendar date, it cannot precede the date of filing of the application for scheme of merger amalgamation in NCLT by more than a year. And if the same is ante-dated beyond a year from the date of filing, the justification for the same would have to be specifically brought out in the scheme. Thus the MCA Circular does not envisage a complete bar on an antedated appointed date and merely requires the Petitioner to provide a justification for the same in the Scheme.

7.11. It is further stated in para 7 of the Reply Affidavit that the Appointed Date mentioned in the Scheme is 01.04.2020. The Scheme was approved by the Board of Directors on 27.01.2021 which is within a period of one year from the appointed date.

Therefore, there would have been no instance where the justification could have been brought out in the scheme.

7.12. It is further stated in para 8 of the Reply Affidavit that the delay in filing of the first motion Application was because of nationwide lockdowns and consequent restrictions owing to the COVID-19 pandemic during the year 2020-2021 and also due to the delay in receiving the consent of the Secured Creditor's (One secured creditor in both the company) of both the Transferor and Transferee Company. Though, the Company Application was filed beyond the period of one year from the Appointed Date, it is neither against public interest nor will there be any prejudice caused to any of the Stakeholders as everyone have approved the Scheme and also the Appointed Date mentioned in the Scheme.

7.13. Further, it is seen that para 9 of the reply affidavit that the Appointed Date in respect of the Scheme can be fixed as 1st April 2022. The said Affidavit filed by the Petitioner Companies is taken on record and accordingly the Appointed Date of the Scheme shall be **01.04.2022.**

7.14. With respect to the observation made by RD in para 11 of the Report wherein it was submitted in para 13 of the reply affidavit

that the undertaking to remit the difference of fees, if any, for the enhanced authorised capital pursuant to the said Scheme and to file the amended MoA and AoA with the RoC, Chennai effecting the revision in the Authorized Share Capital of the Transferee Company.

8. OFFICIAL LIQUIDATOR

8.1. In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued has filed the Report before this Tribunal on ***07.01.2023*** in ***S.R.No.971*** and has stated that they have appointed M/s. Sony Associates., Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Companies. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- The Chartered Accountant have scrutinized 5 (five) years financial starting from FY. 2017-18 to FY 2021-2022 and the following issues were noticed.
- Gratuity liability was not actuarially determined and accounted for as required under Accounting Standard-15.
- There are no statutory dues such as GST, PF, ESI, IT, Sales Tax, Service Tax, Customs duty, Excise duty, VAT & Cess except the following dispute:
- Income Tax Act 1961-Fringe Benefit tax dues of Rs.14.200 lakhs relating to AY 2007-08 pending with Deputy Commissioner of Income Tax (which is not acknowledged as debt and shown in contingent liabilities not provided for).

- As per the latest Audited Accounts for the year 2021-2022 contingent liability is shown as follows:
- Income Tax (AY 2015-16) - Rs. Nil (Rs.5,877.26 thousand)
- Income Tax (AY 2014-15)- Rs.7,318.19 thousands. The demand of Rs.7318.19 thousands of AY 2014-15 was adjusted by Income Tax Department from the refund of subsequent years (As per note forming part of Financial statements as on 31.3.2022)
- Scrutiny of accounts of the Transferor Company for the Financial Years from 2017-18 to 2021-2022 reveals that there were no adverse remarks on Accounts by the Statutory Auditors of the company except the above remarks. As such, the company is maintaining proper books of accounts.
- The statutory registers are being maintained by the company.
- The company has not accepted any deposits from the public.
- Change of name of the company in earlier stage has been dealt with properly.
- On scrutiny of account and records reveals that there is no reported case of theft/misappropriation / fraud/ diversion of funds
- No specific discrepancy noticed.

8.2. Further in Para 5 of the OL report that Based on their above comments and on the basis of their examination and scrutiny of accounts statements furnished to the Chartered Accountants and the discussion the Chartered Accountant have had with the management of the Transferor Company and the explanations, submissions and contentions given, the Chartered Accountant have stated that in their knowledge and belief, the affairs of the company have not been conducted in a manner prejudicial to the

interest of its members or to the public interest in general and they are of the opinion that it would be in order to report to the NCLT in terms of Sections 230 to 232 of the Companies Act, 2013 that the Scheme of Amalgamation of M/s. Suryalaxmi Enterprises Private Limited (Transferor Company) with M/s. Ayodhya Flour Mills Private Limited (Transferee Company)-.

8.3. From the above observations made by the Chartered Accountant, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of ***Rs.50,000/- + GST (Rupees Fifty Thousand only Plus GST)*** to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

9. INCOME TAX DEPARTMENT:

9.1. Despite notice having been served on 07.10.2022 and paper publication made on 14.10.2022 in Business Standard (All India Edition) in English and Dina Mani (Tamil Nadu Edition) in Tamil. However, in relation to the Income Tax authorities, even

though none appeared on behalf of them, it has been brought to the notice of this Tribunal that the Deputy Commissioner of Income Tax Corporate Ward – 6(1), Chennai, has filed objections to the present Scheme. The objection made to the Scheme by the Officer of Income Tax by their letter dated 23.08.2022, and the reply given by the Petitioner Companies vide ***S.R.1504*** dated ***03.01.2023*** are tabulated hereunder;

S No	Objection raised by the Income Tax Department	Reply Given by the Petitioner Companies
1	**Condition : 1** **All the property of the amalgamating company or companies immediately before the amalgamation becomes the property of the amalgamated company by virtue of the amalgamation.** It is observed that as per the Scheme of arrangement, the amalgamated company will record assets of the amalgamating company at Book value as appearing in the books of account of the amalgamating company. Hence, it may be construed that this condition laid down for amalgamation in section 2(1B) of the Income Tax Act, 1961 **is fulfilled.**	It is stated in para 6 of the reply affidavit that the Income Tax Department has confirmed that both the primary conditions as stated in Section 2(1B) of the Income Tax Act, 1961 i.e. transfer of all the property and liabilities of the amalgamating company to become property and liability of the Transferee Company are fulfilled and that there are no objections to the same.
2	**Condition: 2** **All the liability of the amalgamating company or companies immediately before the amalgamation becomes the property of the amalgamated company by virtue of the amalgamation.**	It is stated in para 6 of the reply affidavit that the Income Tax Department has confirmed that both the primary conditions as stated in Section 2(1B) of the Income Tax Act, 1961 i.e. transfer of all the property and liabilities of the amalgamating company to become property and liability of the Transferee Company are fulfilled and that there are no objections to the same.

	It is observed that as per the Scheme of arrangement, the amalgamated company will record assets of the amalgamating company at Book value as appearing in the books of account of the amalgamating company. Hence, it may be construed that this condition laid down for amalgamation in section 2(1B) of the Income Tax Act, 1961 **is fulfilled.**	
3	**Condition: 3** **Shareholders holding not less than three-fourths in value of the shares in the amalgamating company or companies (other than shares already held therein immediately before the amalgamation by, or by a nominee for, the amalgamated company or its subsidiary) become shareholders of the amalgamated company by virtue of the amalgamation.** The above said condition laid down for amalgamation **is fulfilled.**	It is submitted that the basic objective of the proposed Amalgamation is to secure certain strategic business advantages for both Transferor & Transferee Companies which are outlined in detail as part of the rationale to the scheme of amalgamation. It is further submitted that the Appointed Date for the Scheme is 1st April 2020 and the valuation of shares of the Transferor Company and Transferee Company ought to be based on financial statements that are closer to such Appointed Date. Hence, the valuation has been arrived at based on the balance sheet as on 31st March 2020. In the event a separate date is chosen for the purpose of valuation then the share exchange ratio will be distorted and will not provide the true picture of the value of the Companies as on the Appointed Date. It is further submitted that as per 14.1 (1) of the Scheme dealing with the accounting treatment, any difference arising out of the share capital of the Transferor Company and nominal value of shares issued by the Transferee Company to the Shareholders of the Transferor Company would be adjusted by the Transferee Company to its reserve account. It is submitted that both the Transferor and Transferee have two accounts under the head "Reserves and Surplus" i.e. a) Securities Premium account and b) Surplus in Statement of Profit and Loss. In the event any difference arises as per the said clause 14.1(f), the same will be adjusted against the "Surplus in the Profit and Loss A/c" of the Transferee Company.
4	**Condition: 4** **Entire Scheme Should not be a result of purchasing the assets of**	It is submitted that one of the basic requirements to be fulfilled as per Section 2(1B) of the Income Tax Act, which defines the term "Amalgamation" is that all the assets /

	one Company by the other. It is observed from the Scheme of arrangement that shares of M/s.Ayodhya Flour Mills Pvt. Ltd. and M/s. Suryalaxmi Enterprises Pvt. Ltd. are held by Shri. Anand Kumar Gupta and his relatives. Further, it is seen from the Schedule-I attached to Scheme of amalgamation that freehold land and building with total area of 35,578.12 Sq Meter along with builtup area admeasuring 23,999.49 Sq. Meter located at Lucknow, presently held by amalgamating company i.e., M/s. Suryalaxmi Enterprises Pvt. Ltd. is being transferred to M/s.Ayodhya Flour Mills Pvt. Ltd. resulting in avoidance of capital gain tax benefitting Shri. Anand Kumar Gupta and his relatives. Hence, it may be construed that the condition laid down for amalgamation in section 2(18) of the Income Tax Act, 1961 **is not fulfilled.**	property and liabilities of the Amalgamating Company or Companies immediately before the Amalgamation becomes the asset and liabilities of the Amalgamated Company by virtue of amalgamation. In the present Scheme, the entire assets and liabilities of the Transferor Company are being vested in the Transferee Company by virtue of Clause 4 of the Scheme and not one asset alone as claimed by the Income tax Department. Further, the said contention is also accepted by the Income Tax Department in its report. Therefore, the allegation that the Scheme results in purchasing the assets of one company by another is completely frivolous and imaginary.
5	<u>Condition: 5</u> **Entire Scheme Should not be a result of distribution of assets on winding up of one company to the other company.** It is observed from the Scheme of arrangement that shares of M/s.Ayodhya Flour Mills Pvt. Ltd. and M/s. Suryalaxmi Enterprises Pvt. Ltd. are held by Shri.Anand Kumar Gupta and his relatives. In the garb of amalgamation, entire assets of the amalgamating company are being transferred to the amalgamated company without payment of capital gain tax and thereby benefitting ShriAnand Kumar Gupta and his relatives. Hence, it may be construed that the condition laid down for amalgamation in section 2(18) of the Income Tax Act, 1961 **is not**	It is further submitted that the amalgamating company/Transferor Company has not applied for winding up/dissolution under any provisions of law and has active operations. Further, upon the Scheme becoming effective, the amalgamating company will be dissolved without the process of winding up as per Clause 15 of the Scheme. Therefore, it is submitted that the contention of the Income tax Department in relation to Condition 5 not being satisfied is completely false and baseless and without any justification.

<table>
<tr><td></td><td>fulfilled.</td><td></td></tr>
<tr><td>6</td><td><u>Condition: 6</u>

Entire Scheme Should not be only for avoidance of Capital Gaians Tax.
By virtue of amalgamation, capital gain will be exempted u/s.47(vii) for transfer of shares from amalgamating company to amalgamated company and therefore, Further, as per the Scheme of arrangement, huge parcel of land situated at Lucknow is being transferred to the amalgamated company without payment of capital gain tax in the garb of amalgamation. Hence, it is evident that this scheme of arrangement is only for avoidance of capital gains tax.

Hence, it may be construed that the condition laid down for amalgamation in section 2(18) of the Income Tax Act, 1961 is not fulfilled.</td><td>It is submitted that Section 47(vi) and (vii) of the Income Tax Act, 1961 exempts transfer as part of a scheme of amalgamation to be liable to Capital Gains Tax as such transaction is not regarded as "Transfer for the purpose of Section 45 of the Income Tax Act, 1961. Further, the shareholders are also not liable under Capital Gains Tax, if there is a consideration in the form of allotment of shares to the said shareholder in the amalgamated company. In the present Scheme, the entire assets and liabilities of the Transferor Company are transferred and will vest into the Transferee Company as per Clause 4 of the Scheme and all the shareholders of the Transferor Company will be issued shares in the Transferee Company as per the Share Exchange Ratio provided in Clause 11 of the Scheme.</td></tr>
<tr><td>7</td><td><u>Condition: 7</u>

Entire Scheme Should not be only for avoiding payment of tax by merging loss making and profit making companies.

Based on the materials submitted along with the Scheme of Arrangement, the undersigned is not in a position to offer any comments whether this condition is fulfilled or not, as the financials of the Transferor and Transferee companies as on the date of amalgamation are not available.</td><td>It is submitted that both the Transferor Company and the Transferee Company are profit making Companies except for a small operational loss in the Transferee Company for the financial year 2020-2021 due to countrywide lockdown caused by Covid-19. The Profit after Tax for both Companies for the last five years are as follows:

<table>
<tr><th>S.No</th><th>Financial Year</th><th>Transferor (In Rs.)</th><th>Transferee (In Rs.)</th></tr>
<tr><td>1</td><td>2021-2022</td><td>93,83,310.00</td><td>7,94,000.00</td></tr>
<tr><td>2</td><td>2020-2021</td><td>23,34,295.13</td><td>(2,08,140.00)</td></tr>
<tr><td>3</td><td>2019-2020</td><td>95,81,584.46</td><td>31,71,029.00</td></tr>
<tr><td>4</td><td>2018-2019</td><td>89,14,265.24</td><td>28,49,247.78</td></tr>
<tr><td>5</td><td>2017-2018</td><td>86,31,889.59</td><td>18,90,485.24</td></tr>
</table>

It is further submitted that both the companies are profit making and have been regular in paying their Income Tax. The Transferor Company has been regular in paying the income tax for all the years. It is further submitted that the Petitioner Company has paid a total Income tax of Rs.92,59,427/- since the year ending 31/3/2018 and till the year ending 31/03/2022. Therefore, there is no</td></tr>
</table>

		prejudice caused to the Income Tax Department in any manner.
8	**Condition: 8** **No particular shareholder or shareholder group should be benefitted without paying any Capital Gains Tax.** It is observed that Shri.Anand Kumar Gupta and his relatives are holding shares in the amalgamating company and also in the amalgamated company. By virtue of amalgamation, capital gain will be exempted u/s.47(vii) for transfer of shares from amalgamating company to amalgamated company. Shri.Anand Kumar Gupta and his relatives will be hugely benefited from this Scheme of arrangement. Hence, it may be construed that the condition laid down for amalgamation in section 2(1B) of the Income Tax Act, 1961 **is not fulfilled.**	It is submitted that no such requirement emanates from the definition of Amalgamation as per Section 2(1B) of the Income Tax Act, 1961. It is further submitted that the Income Tax Act, 1961 itself by virtue of Section 47 (vi) and (vii) does not treat any transaction as a transfer for the purpose of capital gains tax and provides exemption to the Companies and the Shareholders in a Scheme of Amalgamation. Therefore, such exemption which benefits the shareholders or the Company enshrined in the Act itself cannot be treated to be against the public interest or in any manner prejudicial to the interest of the Income tax Department or the public at large.
9	**Condition: 8** **No assets of the amalgamating companies should be re-valued prior to amalgamation.** It is observed from the details furnished by the assesse company along with Scheme of amalgamation that Balance Sheet as at 30/06/2022 in respect of amalgamating companies are not provided. It is apparent that assessee company has deliberately not submitted the latest provisional unaudited accounts for Quarter Ending 30/06/2022. Therefore, based on the materials submitted along with the Scheme of Arrangement, the undersigned is not in a position to offer any comments whether this condition is fulfilled or not, as the financials of the Transferor and Transferee companies as on the date of amalgamation are not available. Hence, it may be construed that the	It is submitted that the Scheme at Para 14.1 (c) categorically states that the Assets and Liabilities of the Transferor Company will be recorded at their respective carrying amounts as stated in the books of accounts of the Transferor Company. Further, the audited accounts of the Transferor Company for both the years i.e. 31.03.2021 and 31.03.2022 has been filed which will show that there has been no revaluation of assets or liabilities prior to the Amalgamation.

	condition laid down for amalgamation in Section 2(1B) of the Income Tax Act, 1961 **is not fulfilled.**	
10	**Other objections :** Furthermore, it is noticed from the assessment records that the Transferor company i.e., M/s.Suryalaxmi Enterprises Pvt. Ltd. is having outstanding demand of Rs.72,00,395/- for AY:2014-15 Further, penalty proceedings u/s.271(1)(c)is also pending in respect of Transferor company ie., M/s. Suryalaxmi Enterprises Pvt. Ltd.	It is submitted that an appeal is filed before the Principal Commissioner of Income- tax (Appeals), National Faceless Appeal Centre, New Delhi and the same is still pending. The Form No. 35 filed before the Commissioner of Income Tax (Appeals) and also the acknowledgement of filing the appeal is filed at page No. 26 of the Reply affidavit.

9.2. We have perused the objections of the Income Tax Department and reply Affidavit filed by the Applicant Companies. The objections raised by the Income Tax Department is not within the framework of Section 230 – 232 of the Companies Act, 2013. In exercise of our powers conferred under the Companies Act, 2013 along with Attendant Rules and Regulations, we are approving the present Scheme. The Income Tax Department can proceed the case against the Applicant Companies before the appropriate forum in accordance with law.

9.3. Further, it is relevant to point out **clause 8.4 of the Scheme** that *upon the Scheme becoming effective, all Taxes, cess, duties and liabilities (direct and indirect), payable by or on behalf of the Transferor Company, shall, for all purposes, be treated as Taxes, cess, duties and liabilities, as the case may be, payable by the Transferee Company.*

9.4. Further it becomes relevant to discuss that in Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in* ***RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj)*** *and the same being also affirmed by the Hon'ble Supreme Court and as reported in* ***(2016) 66 taxmann.com.374(SC)*** *from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

10. VALUATION REPORT

10.1. The Learned Authorized Representative for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from ***Pragadeeshkanna M,*** Registered Valuer, and the same is placed at ***"Page Nos.116 to 128"*** of the Transferor Company Petition typeset ***"Page Nos.101 to 113"*** of the

Transferee Company Petition typeset, wherein it has been recommended by the independent Registered Valuer as follows:

- *The swap ratio for Transferor Company to be issued by Ayodhya Flour Mills Private Limited (AFMPL) for every share held by the shareholders of each Transferor Company as per the Net Asset Value Methodology ("NAV") as at March 31st, 2020. The computation of fair market value of each common share of the Company as per Net Asset value Methodology ("NAV") as at March 31st, 2020 and the computation of the swap ratio has been provided as below:*

PARTICULARS	AFMPL	SEPL
Value per Share	45.80	49.82
Swap Ratio	1.00	1.09

11. ACCOUNTING TREATMENT

11.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued

by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed at *'Page Nos. 187 to 189'* of the Transferor Company Petition typeset and *'Page No. 166'* of the Transferee Company Petition typeset.

12. OBSERVATIONS OF THIS TRIBUNAL

12.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. Considering the record placed before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended at *"Page No. 190 to 221" of* the Transferor Company and *"Page No. 167 to 198"* of the Transferee Company to the typed set filed along with the Company Petition as well as the prayer made therein.

12.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against

the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

12.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

12.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting approval of the said loan assignments and exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

13. THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act,1956 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed Date for the scheme shall be **1st April 2022** in terms of this order.

(iv) The 'Effective Date' means the date on which the National Company Law Tribunal, Chennai Bench sanctions the Scheme under Sections 230 to 232 of the Companies Act, 2013; as mentioned in ***Clause 1.5 of Part-A* of the Scheme** .

(v) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vi) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vii) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by ***Clause 11 Part B of the Scheme*** herein, the shares in the Transferee Company to which they are entitled under the said Scheme.

(viii) That All shares held by the Transferor Company in the share capital of the Transferee Company as on the Effective Date ie. 50,000 [Fifty Thousand], shall stand cancelled, without any further act or deed, upon this Scheme becoming effective and

the share capital of the Transferee Company shall stand reduced to the said extent. In lieu thereof no allotment of any new shares or any payment shall be made to any person whatsoever.

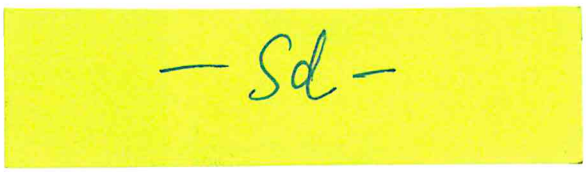
(ix) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(x) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to all the Transferee Company and the files relating to all the said companies shall be consolidated accordingly.

(xi) That any person or statutory or other authority interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

(xii) The ***Registry*** of Tribunal is directed to forward a copy of this Order to the jurisdictional Income Tax office by referring the AOS filed by the Applicant Companies dated 01.11.2022 in SR No. 5856 & 5857.

14. Accordingly, the Company Petitions stands **allowed** on the aforementioned terms.



SAMEER KAKAR
MEMBER (TECHNICAL)



JUSTICE RAMALINGAM SUDHAKAR
PRESIDENT